Chapter 4

Businesses & Consumers: EMU in Practice

What does European integration concretely mean for companies and people?

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- Part 1: Complete Synthesis — all key concepts with examples
- Part 2: Q&A; Exam Format — 15 questions & answers

PART 1 — COMPLETE SYNTHESIS

KEY CONCEPT 1 — EMU Benefits for Companies

The euro and the Single Market transformed the business environment for European companies. 5 concrete advantages:

Advantage	What it means	Concrete example
No exchange rate costs	No conversion fees between eurozone countries	A Belgian company pays a German supplier in euros — no forex needed
Exchange rate stability	No currency risk within eurozone	No fear that your Italian customer's currency will depreciate before payment
Vast home market	450 million consumers, single set of rules	An Estonian startup can sell to France, Spain, Germany without adapting to 3 different regulatory frameworks
Easier financing	Unified capital markets, lower borrowing costs	A Portuguese SME can borrow from a Dutch bank as easily as a local one
Price transparency	Consumers can directly compare prices across countries	Amazon comparison shopping across EU countries

Concrete example of the scale: The EU internal market is the **largest in the world**. Exporting within the EU is like selling domestically — no tariffs, same rules. This is why companies like Airbus or LVMH are globally competitive: they have a massive home base.

KEY CONCEPT 2 — EU Value Chains: Strengths and Weaknesses

The EU is a global leader in **modular production networks** — products are assembled across multiple countries.

Example: A German BMW is designed in Munich, has a French-made gearbox, an Italian-made leather interior, assembled in Germany, sold across 100 countries.

EU competitive strengths:

- **Automotive**: Volkswagen Group, BMW, Stellantis, Mercedes — global leaders BUT challenged by Chinese EVs
- **Aerospace & Defence**: Airbus competes directly with Boeing
- **Chemicals & Pharmaceuticals**: BASF, Bayer, Sanofi, AstraZeneca
- **Luxury goods**: LVMH, Hermès, Richemont — EU dominates globally

EU competitive weaknesses:

- **Electronics**: No EU equivalent of Apple, Samsung, Sony
- **Digital/Tech**: No EU equivalent of Google, Amazon, Meta, Netflix
- **Semiconductors**: Heavy dependence on TSMC (Taiwan), Samsung (Korea)

EU's strategic response: EU Chips Act (2023) — invest €43 billion to produce 20% of global chips in Europe by 2030.

KEY CONCEPT 3 — The EU and the Global Economy

EU's global weight:

- ~500 million people (now closer to 450M post-Brexit)
- Represents ~14-15% of global GDP
- ~30% of global trade in goods and services
- World's largest aid donor

The geopolitical challenge: The EU faces three major trading powers:

- **USA**: Services, digital, defence — TTIP negotiations (stalled)
- **China**: Manufacturing, electronics, infrastructure — Belt & Road concerns, Chinese EV subsidies
- **Emerging blocs**: RCEP (Asia-Pacific), AfCFTA (Africa), USMCA (Americas)

EU's response: "Strategic autonomy" — reducing dependence on single suppliers for critical goods (energy, chips, medicines, rare earths).

KEY CONCEPT 4 — EMU for Consumers

The euro and EU membership changed everyday life for 450 million Europeans:

Freedom to:

- **Live** in any EU member state (just register, no visa)
- **Work** in any EU member state (qualifications mutually recognized)
- **Be protected** by EU consumer law wherever you are in the EU
- **Study** in any EU university (Erasmus programme, ECTS credits transferable)

Practical EU impacts on daily life:

- **No roaming charges** in the EU (abolished 2017) — your phone plan works across all 27 countries
- **USB-C standard** (2024) — EU forced Apple and all manufacturers to use universal charger
- **GDPR** — you can ask any company to delete your data
- **Price comparison** across borders enabled by the euro
- **30-day return policy** minimum across all EU online purchases

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KEY CONCEPT 5 — The EU Business Model and ESG Integration

Modern EU companies are increasingly judged not just on profit but on their **ESG performance**:

Why ESG is now mandatory for many EU companies:

- CSRD (Corporate Sustainability Reporting Directive, 2024): large listed companies MUST report on ESG metrics
- Banks increasingly use ESG scores in lending decisions
- Large institutional investors (pension funds) apply ESG filters

The VUCA challenge for businesses:

In today's volatile world, EU companies face:

- Supply chain disruptions (COVID, Suez Canal blockage)
- Geopolitical risks (Ukraine war, US-China tensions)
- Regulatory changes (Green Deal, digital regulation)
- Demographic shifts (ageing EU population)

The EU's answer: Resilient value chains + strategic autonomy + green transition = more stable long-term business environment.

KEY CONCEPT 6 — Wintelism and Modular Production Networks

A key concept from Module 6 (Mme Nouveau's course):

Fordism (old model): One company controls the entire production chain (Ford makes every car part).

Wintelism (new model, named after Windows + Intel): Value comes from controlling the **standard** (the platform), not the physical production.

- Apple doesn't make iPhones — it designs them and controls the iOS ecosystem
- Airbus designs planes but outsources manufacturing globally
- Value = created by **design, brand, and standard**, not by owning factories

Why this matters for the EU: EU companies excel at the middle of value chains (manufacturing, components) but often lack the platform/standard dominance that US tech companies have.

KEY CONCEPT 7 — Making the Link Between All 4 Chapters

The professor's key question: "Connect the 4 chapters."

The perfect answer structure:

1. **Chapter 1 (What is the EU?)**: We learn the language — institutions, law, the Single Market. Like learning the alphabet of European integration.
2. **Chapter 2 (How does it work?)**: We understand the grammar — how 27 economies coordinate monetary and fiscal policy with the Mundell trilemma at the core.
3. **Chapter 3 (What does it do?)**: We see the sentences — concrete policies: CAP for agriculture, competition law for fairness, Green Deal for the future.
4. **Chapter 4 (So what?)**: We can now speak the language fluently as a businessperson — understanding how the euro, the Single Market, and EU regulation directly impact your company and your life as a consumer.

The progression: Context → Governance → Policies → Business Impact. Each chapter adds a layer of depth to the same reality: a political and economic union trying to be stronger together than apart.

PART 2 — Q&A; EXAM FORMAT (15 Questions)

Q1 What are the 5 concrete advantages of EMU for European companies?

1. No exchange rate conversion costs within the eurozone. 2. Exchange rate stability (no currency risk). 3. Access to a vast home market of 450 million consumers under one regulatory framework. 4. Easier access to financing through unified capital markets. 5. Full price transparency allowing direct cross-border price comparison.

Q2 What are the EU's main competitive strengths and weaknesses in global value chains?

Strengths: Automotive (BMW, VW), Aerospace (Airbus), Chemicals/Pharma (BASF, Bayer), Luxury (LVMH). Weaknesses: No major consumer electronics brand, no EU equivalent of Google/Apple/Amazon, heavy semiconductor dependence on Asian suppliers.

Q3 What is Wintelism? How does it differ from Fordism?

Fordism: one company controls the entire production chain (Ford makes every part of the car). Wintelism (Windows + Intel): value comes from owning the platform/standard, not the physical production. Apple designs the iPhone and controls iOS but outsources manufacturing to Foxconn in China.

Q4 What are the 4 freedoms EU citizens enjoy as consumers?

1. Live in any EU member state (just register). 2. Work in any EU member state (qualifications recognized). 3. Be protected by EU consumer law across all 27 countries. 4. Study in any EU university (Erasmus, ECTS credits transferable).

Q5 Give 3 concrete examples of how the EU affects daily consumer life.

1. No roaming charges across EU since 2017 (your phone plan works in all 27 countries). 2. USB-C universal charger mandated by the EU for all devices from 2024. 3. GDPR: you can request any company to delete your personal data, even US companies operating in Europe.

Q6 What is the EU's strategic response to its weakness in semiconductors?

The EU Chips Act (2023) allocates €43 billion to boost domestic semiconductor production, with the goal of producing 20% of global chips in Europe by 2030, reducing dangerous dependence on Taiwan (TSMC) and South Korea (Samsung).

Q7 What is the CSRD and why does it matter?

The Corporate Sustainability Reporting Directive (2024) makes it mandatory for large listed EU companies to report on their ESG (Environmental, Social, Governance) performance in detail. It forces companies to measure and disclose their climate impact, labor practices, and governance quality.

Q8 How would you connect all 4 chapters of the EBE course in one answer?

Ch1 = the alphabet (what is the EU, its institutions and rules). Ch2 = the grammar (how monetary and fiscal policy coordination works, Mundell trilemma). Ch3 = the sentences (concrete policies: CAP, competition, Green Deal). Ch4 = speaking the language as a businessperson (how it all impacts companies and consumers in practice).

Q9 What is the EU's global economic weight?

~450-500 million citizens, ~14-15% of global GDP, approximately 30% of global trade. The world's largest single market. Also the world's largest development aid donor. Despite being a major force, it faces challenges from the USA (services/digital) and China (manufacturing).

Q10 What is 'strategic autonomy' and why is the EU pursuing it?

Strategic autonomy means reducing the EU's dependence on foreign suppliers for critical goods and technologies. Triggered by COVID (medicine shortages), the Ukraine war (energy dependence on Russia), and US-China tensions (chip supply chain risks). The EU wants to produce more critical goods domestically or with trusted partners.

Q11 What is the Erasmus programme and what EU principle does it embody?

Erasmus is the EU student exchange programme, allowing students to study at any EU university with credits recognized across all member states (ECTS system). It embodies the free movement of people and the idea of a shared European identity and education space.

Q12 Why is price transparency an advantage of the euro for businesses?

With the euro, a French company can directly compare prices from German, Italian and Spanish suppliers without currency conversion. This forces suppliers to compete on quality and efficiency, not just exchange rate advantages, ultimately benefiting consumers through lower prices.

Q13 What is a 'free rider' in the EU context?

A free rider is a Member State (or actor) that benefits from EU integration and its collective goods (Single Market access, security, standards) without contributing proportionally to the costs. Example: a small country enjoying the full benefits of the Single Market while lobbying for minimal budget contributions.

Q14 What is 'critical mass' in an EU context?

Critical mass is the minimum level of support or participation needed to have significant influence within the EU system. A single small country has little leverage; but a coalition representing enough population and economic weight can shift EU policy. Example: France + Germany + Italy forming a bloc to influence Commission decisions.

Q15 What are the key VUCA challenges facing EU businesses today?

Volatility: rapid market changes (COVID disruptions, war in Ukraine). Uncertainty: unpredictable geopolitical outcomes, energy prices. Complexity: global supply chains with many interdependent actors. Ambiguity: unclear regulatory future (Green Deal rules still evolving, AI regulation uncertain). The EU Single Market helps buffer some VUCA effects by providing regulatory stability.